Shares and securities

Content

C Chargeable gains for individuals

4. Gains and losses on the disposal of shares and securities

1. Valuing quoted shares when gift

MV of quoted shares = Average price = 1/2 × (higher price+ lower price)

Lecture illustration

Sun plc is a listed company. Jim acquired Sun plc's 1,000 shares in July 2020.

In March 2026, Jim gave all his shares to his son.

On that day Sun plc's shares are quoted at £1.50 - £1.60.

Lecture illustration -Solution

Market value for calculating Jim's capital gain $\frac{1}{2} \times (£1.50 + £1.60) = £1.55$

2. Matching rules for individuals

2.1 Matching rule

Matching rule is used to find the allowable cost of shares on disposal.

The costs of shares sold should be matched with acquisitions in the following order:

- Acquisitions on the same day
- Acquisitions within the following 30 days – FIFO basis
- Shares in the share pool (Shares acquired before disposal)

  Cost per share = Total costs of shares in share pool ÷ Number of shares in share pool

2. Matching rules for individuals

2.2 Proforma of share pool

	No. of shares	Cost £
Additions at 200N/N/N	X	X
Additions at 201Y/Y/Y	X	X
	A	B
Disposals at 202Z/Z/Z	(C)	**(B÷A×C)**
	X	X

Lecture example 1

James acquired the following shares in Rio Grande plc:

Date of acquisition	No. of shares	Cost £
10 December 2004	10,000	25,000
07 October 2014	3,000	12,000
12 August 2025	6,000	30,000

James disposed of 12,000 of his shares on 7 August 2025 for £58,000.

Calculate James's chargeable gains arising.

2. Matching rules for individuals

2.3 Bonus issue

Bonus issue is an offer of free additional shares to existing shareholders.

- Number of shares in the share pool increases.
- Cost in the share pool does not change.

2. Matching rules for individuals

2.4 Rights issue

Rights issue is an offer that allow existing stockholders to buy additional shares at a predetermined price, for a set time period.

- Number of shares in the share pool increases.
- Cost in the share pool changes.

Lecture example 2

On 14 October 2025, Ross sold 5,000 £1 ordinary shares in GH Ltd, an unquoted trading company, for £15,000. She had originally purchased 20,000 shares in GH Ltd on 1 October 2003 for £15,000. On 11 September 2007 she had purchased further 2,000 shares for £6,000. On 1 April 2008, GH Ltd made a 1 for 2 rights issue at £2.5 per share. Ross took up all right issues. On 14 October 2025, Ross purchased 500 shares for £2,250.

What is Ross's gain arising in October 2025?

3. Takeovers

3.1 Shares for shares

- No gain arises.
- The cost of the original holding = The cost of the new holding

Lecture illustration

In June 2006, Pill bought 30,000 £1 shares in A plc for £3 each.

In July 2025, A plc was taken over by B plc. Every three shares of A plc can be exchanged for share of B plc as follows:

- Two ordinary B plc shares, which were quoted at £6 each following the takeover;
- One preference B plc share, which was quoted at £1 each following the takeover.

Calculate the base cost of the shares in B plc.

Lecture illustration -Solution

The market value of shares in B plc:	£
Ordinary shares $30,000 \times \frac{2}{3} \times 6$	120,000
Preference shares $30,000 \times \frac{1}{3} \times 1$	10,000
Total value	130,000
The original cost of shares in A plc=30,000×£3=£90,000	
How to split up:	£
Ordinary shares $\frac{120,000}{130,000} \times £90,000$	83,077
Preference shares $\frac{10,000}{130,000} \times £90,000$	6,923
	90,000

3. Takeovers

3.2 Shares for shares and cash

- Cash element is treated as proceeds of a part disposal.
- The original cost needs to be apportioned between the cash and new shares received.

$$\text{Allowable cost} = \frac{A}{A+B} \times \text{original cost}$$

A = cash element

B = market value of new shares at date of takeover

Lecture example 3

Lala acquired 10,000 £1 shares in F plc in June 1991 for £15,000. F plc was taken over by G plc in July 2025 and for each £1 share in F plc Lala received two £1 ordinary shares in G plc valued at £1.10 each and 40p in cash.

Calculate Lala's gain arising at takeover.

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Quizzes(self-practice)

Quiz 1

Which of the following are the correct share matching rules for individuals?

A.Same day shares, then shares in the previous 30 days, then shares held in the share pool

B.Same day shares, then shares in the following 30 days, then shares held in the share pool

C.Shares in the share pool, then shares in the following 30 days, then same day shares

D.Same day shares, then shares in previous 9 days, then shares in share pool

Quiz 1-A

The correct answer is **B**.
A disposal of shares of the same class in the same quoted company is matched with acquisitions in the following order: all shares acquired on the same day treated as a single transaction; then shares acquired in the next 30 days on a FIFO basis; then shares held in the pool.

Quiz 2

Gemma acquired shares in Pot plc, as follows:

	Shares Number	Cost £
23 August 2007	3,000	5,200
10 June 2015	1,200	1,750

There was a 1 for 3 bonus issue on 1 April 2017. Gemma then took up her entitlement under a 1 for 4 rights issue on 1 April 2018 at £2 per share. Finally, she sold 4,000 shares on 18 February 2026 for £5.00 per share

Quiz 2

What is the chargeable gain arising on disposal of the shares in the tax year 2025-26, ignoring the annual exempt amount ?

A.£13,397

B.£5,571

C.£14,429

D.£13,381

Quiz 2-A

The correct answer is **C**.

	£
Proceeds (4,000 × £5)	20,000
Cost (W)	(5,571)
Chargeable gain	14,429

Quiz 2-A

Working

Pool	Shares Number	Cost £
Purchase 23 August 2007	3,000	5,200
Purchase 10 June 2015	1,200	1,750
	4,200	6,950
Bonus issue 1 April 2017 (1:3)	1,400	
	5,600	
Rights issue 1 April 2018 (1:4 at £2 per share)	1,400	2,800
	7,000	9,750
Sold 18 February 2026	(4,000)	
Pool cost £9,750 × 4,000/7,000		(5,571)
Pool c/f	3,000	4,179

Quiz 3

Which of the following statements are true?

(1) Bonus issues are new shares issued at a discount to shareholders

(2) Rights issues are new shares issued at nil cost to shareholders

A.1 only

B.2 only

C.1 and 2

D.Neither 1 or 2

Quiz 3-A

The correct answer is **D**.
Bonus issues are new shares issued at nil cost to shareholders.
Rights issues are new shares issued at a discount to shareholders.



谢谢观看

THANK FOR WATCHING